Chapter 12: Open-Economy Macroeconomics, Exchange Rates, and the Balance of Payments

Principles of Macroeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 12: Open-Economy Macroeconomics, Exchange Rates, and the Balance of Payments, benchmarked to standard principles curriculum.

Contents

1 Balance of Payments Accounting

2 The Open-Economy Policy Trilemma

1 Balance of Payments Accounting

$$\text{Current Account (CA)} + \text{Financial Account (FA)} \equiv 0 \tag{1}$$

A trade deficit ($CA < 0$) is financed by net foreign capital inflows ($FA > 0$).

2 The Open-Economy Policy Trilemma

A sovereign economy cannot simultaneously maintain:

1. Fixed exchange rates.
2. Free international capital flows.
3. Independent monetary policy.